Micron Technology, Inc. (NASDAQ: MU)

Priced for the Boom, Not the Bust — The Payoff Is Asymmetric, the Base Case Is Not

OVERWEIGHT	PRICE TARGET $1,010	CURRENT PRICE $914.13	UPSIDE +10.5%

Market Cap	**$1,049B**	FY2026A Revenue	**$133.2B**
Net Cash	**$68.3B**	FY2027E Revenue	**$269.3B**
P/E on FY2027E	**5.6x**	FY2026A Gross Margin	**81.1%**
P/E on trough FY2031E	**17.1x**	WACC / Terminal g	**11.5% / 3.0%**
Base DCF Value	**$876**	Bear / Bull	**$466 / $1,830**
Prob.-Weighted Value	**$1,012**	Boom Years % of EV	**28%**

EXECUTIVE SUMMARY

We initiate on Micron at **Overweight** with a **$1,010 price target** (+10.5%) — but with an unusual caveat: our **base case is worth $876**, -4.2% vs. today. The stock is not cheap on a central view; the target is above the price because the payoff is asymmetric. A milder downturn (Bull, $1,830) adds far more value than a deeper one (Bear, $466) takes away, because memory pricing compounds.

Micron is in the biggest memory upcycle on record: FY2026 revenue rose 256% to $133.2B at an 81% gross margin, Q4 alone was $54.2B, and Q1 FY2027 is guided to $61.5B. At $914.13 the stock trades at only 5.6x our FY2027E earnings — but 17.1x our trough FY2031E earnings and 9.8x the through-cycle average. The market is already discounting a bust; the question is how deep.

INVESTMENT THESIS

1. AI Turned Memory Into the Bottleneck

HBM and high-capacity server DRAM are sold out. More than 75% of FY2027 output is committed, calendar-2027 HBM is priced 'much higher' than 2026, and 26 strategic customer agreements cover 35%+ of revenue through 2030. Management expects supply to be tighter in FY2027–28 than in FY2026 and has 'no line of sight' to balance.

2. Every Memory Boom Funds Its Own Bust

FY2027 capex is guided 'materially higher' than FY2026's $27.4B (H1 alone ~$25B), and Samsung and SK hynix are building too. We keep pricing firm through FY2028E (revenue $338.6B), then model DRAM and NAND prices falling 45% in FY2029E and 30% in FY2030E: revenue troughs at $181.4B and gross margin at 45%.

3. The New Mid-Cycle Is the Whole Debate

Boom-year cash flows (FY2027E–FY2028E) are only 28% of our enterprise value; the terminal value is 41%. Our base case assumes a structurally larger market after the bust — $257.0B of revenue by FY2036E at a ~50% gross margin, roughly 7× pre-AI revenue. If HBM contracts make memory less cyclical, that is too conservative; if AI capex slows, it is too generous.

4. Fortress Balance Sheet

Micron ended FY2026 with $73.5B of cash and investments against $5.2B of debt — $60 a share of net cash that cushions any downturn.

CYCLE PROJECTIONS ($M, FY ending ~September)

Metric	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2033E	FY2036E

DRAM (incl. HBM)	99,892	204,740	257,972	167,424	135,948	140,706	164,728	191,876
NAND	33,298	64,514	80,642	54,111	45,453	47,199	55,154	65,169
Total Revenue	133,190	269,254	338,614	221,535	181,401	187,905	219,882	257,046
YoY Growth	+256.3%	+102.2%	+25.8%	-34.6%	-18.1%	+3.6%	+7.3%	+4.3%
Gross Margin	81.1%	86.0%	82.0%	60.0%	48.0%	45.0%	50.0%	50.0%
Operating Income	99,300	221,458	266,664	121,921	75,773	72,757	96,941	113,723
Operating Margin	74.6%	82.2%	78.8%	55.0%	41.8%	38.7%	44.1%	44.2%
EPS proxy ($)	$73	$163	$196	$90	$56	$54	$71	$84
Unlevered FCF	—	130,445	176,068	90,362	49,901	45,797	67,230	87,328

FY2026A DRAM/NAND split is an estimate (75% DRAM; Q4 FY26 was 73%). EPS proxy = EBIT × (1 – 15.5% tax) / diluted shares; excludes interest income. FY2029E–FY2031E downturn is our assumption — management has given no view beyond FY2028.

DCF VALUATION & SCENARIOS

Component	Value	Notes
Sum of PV (FCFs)	$556,067M	Stub (88% of FY2027E left) + mid-year
of which FY2027E–FY2028E	$261,403M	28% of EV — the boom
PV of Terminal Value	$379,907M	g 3.0%; 41% of EV
Enterprise Value	**$935,974M**	**WACC 11.51% (β 1.50, Rf 5.1%)**
+ Net Cash	+$68,300M	Sept 3, 2026
Base DCF Value per Share	**$875.57**	**-4.2% vs. current**
Bear (25%) — deeper bust	$465.75	Bust-year ASPs –15pp, GM –5pp, capex +2pp, WACC +1pp, g 2.5%
Bull (25%) — shortage lasts	$1,829.92	Bust-year ASPs +15pp, GM +5pp, capex –2pp, WACC –1pp, g 3.5%
Probability-weighted	$1,011.70	25 / 50 / 25
★ Price Target	**$1,010**	**OVERWEIGHT — ±10% rating bands; upside is +10.5%**

SENSITIVITY — BASE DCF VALUE PER SHARE (WACC × g)

g \ WACC	10.01%	10.51%	11.01%	11.51%	12.01%	12.51%	13.01%
2.0%	$963	$916	$875	$838	$805	$774	$747
2.5%	$991	$940	$896	$856	$820	$788	$759
3.0%	$1,024	$968	$919	**$876**	$837	$803	$772
3.5%	$1,061	$999	$945	$898	$856	$819	$786
4.0%	$1,105	$1,035	$975	$923	$878	$838	$802

Green = ≥10% above the current price; red = ≥10% below. The base case ranges from roughly fair value to well below the price across the grid — the rating comes from the scenario skew, not the base case.

WHAT THE PRICE IMPLIES (P/E at current price)

Year	EPS proxy	P/E	Comment
FY2026A (reported non-GAAP EPS)	$75.52	12.1x	Reported
FY2027E (boom)	$163.15	5.6x	Peak pricing
FY2028E (peak)	$196.45	4.7x	Tightest supply per mgmt
FY2030E (bust)	$55.82	16.4x	Our modeled downturn
FY2031E (trough)	$53.60	17.1x	Pricing bottoms
FY2033E (new mid-cycle)	$71.42	12.8x	

Through-cycle average FY2027E–FY2036E	**$93.38**	**9.8x**	

KEY RISKS

Risk	Description	How the model treats it
Earlier / deeper bust	Industry capacity (Samsung, SK hynix, CXMT) arrives before FY2029E, or pricing falls 60%+ as in past cycles.	Bear case: $466 (-49%).
Shortage lasts longer	AI demand absorbs new fabs through FY2029–30; HBM contracts dampen cyclicality.	Bull case: $1,830 (+100%).
HBM competition	SK hynix leads HBM; Samsung HBM4 qualification adds supply and pressures pricing.	Captured in bust-year ASP assumptions.
Capex overshoot	Capex at 20–25% of revenue through the cycle; overbuilding deepens the downturn.	Bear adds +2pp capex intensity.

Price as of Oct 14, 2026 close; balance sheet as of Sept 3, 2026. Sources: Micron Q4 / FY2026 results (Sept 30 2026) and earnings call; FY2025 10-K. Bit growth, pricing, the FY2029E–FY2031E downturn and scenario parameters are analyst estimates. All figures USD millions unless noted; every figure is read from MU_DCF_Model.xlsx. For portfolio and educational purposes only — not investment advice. Francisco Rodriguez · github.com/Azyo1 · October 2026.